For-Profit Colleges

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Introduction

For-profit colleges are post-secondary institutions that are operated as businesses in the United States and around the world. Unlike private nonprofit institutions, profits accrue to owners or shareholders and do not need to be reinvested in the organization. For-profit colleges range from small mom-and-pop institutions with just a handful of students to the largest chain and online institutions in the country. Overall, the for-profit sector enrolls approximately 1.2 million students annually in federally aided institutions, i.e., approximately 6.6% of the roughly 19 million students attending college today.[1] According to federal government data, there were approximately 691 degree-granting for-profit colleges and another 1,524 non-degree-granting for-profit institutions in the United States as of 2020.[2] Many smaller for-profit institutions operate outside of the federal student aid system and are therefore missing in the federal government's counts. Adding these institutions would mean that there were approximately 4,400 for-profit postsecondary institutions in the United States as of 2020.[3]

While for-profit colleges may increase access to innovative and flexible programs for working students, claims of misleading marketing, high student debt, and low returns raise concerns about the quality and value of education in this sector. In this chapter, I review the academic research and key policy debates involving for-profit colleges. Central to the literature are questions of institutional behavior, student outcomes, and the role of state and federal policy in the for-profit sector. Descriptive work has documented the changing size, structure, and demographics of the for-profit sector. Causal studies have highlighted the responses of institutions and students to changes in federal student aid programs and accountability policy.

Key findings

Key finding #1: *For-profit colleges disproportionately recruit and enroll students who are lower-income, women, single parents, veterans, and from traditionally marginalized groups. They tend to offer more vocational and subbaccalaureate degrees and certificates than institutions in other sectors.*

Key finding #2: *Labor market outcomes are worse for for-profit students than for similar students in similar programs in other sectors.*

Key finding #3: *Compared to students in other sectors, students in for-profit colleges are more likely to borrow for college and less likely to repay that debt. They are also more likely to default on student loans.*

Key finding #4: *For-profit colleges are highly dependent on Pell Grants, student loans, and the GI Bill. Regulatory changes involving eligibility for these programs have driven fluctuations in enrollment over the last several decades. Ongoing debates over the rules governing federal student aid policy will shape the sector and its students in the years to come.*

Understudied aspects of for-profit post-secondary education: We know little about the patterns of expansion and quality of for-profit post-secondary education outside of the United States, but we know that for-profit chains have expanded around the globe.

International data are difficult to obtain, but research on Latin America shows tremendous growth in that region. For-profit colleges are allowed in at least 7 countries in Latin America, and by some accounts, they have contributed to increased access to higher education in the region, with overall post-secondary enrollment growing from 46% in 2002 to 54% in 2013.[4] In Brazil, approximately one-third of all college students—a total of approximately 2 million students—enrolled in for-profit institutions as of 2014,[5] and some of the largest for-profit institutions in Brazil are subsidiaries of U.S. chains. Major stakeholders of these international for-profit institutions includes the Apollo Group, which controls the University of Phoenix.

There is some evidence that for-profits are proliferating in other parts of the world, such as Southeast Asia. For example, due to its lack of regulation, the Philippines has seen the largest expansion of for-profits in the region, with 33 for-profit institutions.[6] In India, for-profit institutions are not allowed to operate, but enter partnerships with other institutions[7] and a market for "gray degrees," i.e., purchased credentials, exists and thrives.[8] More research on the history, expansion, and policy governing for-profit education worldwide is sorely needed.

Policy considerations: Policymakers should carefully consider the incentives that higher education policies create for for-profit institutions. For example, broad expansions of federal student aid programs to for-profit colleges without accompanying requirements that impose accountability for student outcomes may lead to a proliferation of low-value programs. To the extent that students from traditionally marginalized and underrepresented groups are more likely to be recruited and enroll in for-profit colleges—and take on more debt to attend them—policies that expand access to aid for for-profit programs may inadvertently exacerbate inequities in higher education rather than ameliorate them.

Evidence

Key finding #1: *For-profit colleges disproportionately recruit and enroll students who are lower-income, women, single parents, veterans, and from traditionally marginalized groups. They tend to offer more vocational and subbaccalaureate degrees and certificates than institutions in other sectors.*

In the United States, for-profit students are demographically different from students in other sectors. Compared to students in other sectors, they are more likely to be lower-income, female, and older. They are also more likely to be students of color, veterans, and single parents.[9] Demographically, for-profit students are most like community college

students, but some key differences remain. Approximately 64% of students in for-profits are female compared to 54% in public two-year colleges, and more than half of for-profit students (52%) are Black or Hispanic compared to 44% of community college students. The average for-profit student is approximately two years older than his or her counterpart in the public sector (24 vs. 22).[10]

The reasons for these demographic differences are due in part to the program mix at different types of institutions. For-profit institutions tend to offer programs that are vocational in nature, and they often specialize in nondegree and subbaccalaureate programs, such as associate degrees and certificates. As of 2020, for-profit colleges conferred 6% of all associate degrees and 27% of all certificates.[11] They also dominate the market in certain fields. For example, in cosmetology, for-profit institutions offer 85% of all certificates.[12] Despite the high proportion of subbaccalaureate and nondegree students, much of the growth in for-profit education has been in bachelor and graduate programs. Today, approximately 15% of for-profit degrees are in master's, doctoral, and other professional graduate degrees compared to under 4% in 2000.[13]

Research indicates that the recruitment and advertising practices of for-profit colleges undoubtedly contribute to these differences. Sociologists have qualitatively[14] documented the racially targeted recruiting practices of for-profit institutions, while economists have found that the advertising spending of for-profit colleges is correlated with the share of Black, Hispanic, and military students in the local area.11

For-profit colleges also vastly outspend other institutions on advertising. Excluding online advertising, for-profits spend approximately $400 per student on TV, cable, print, and outdoor advertising compared to just $14 per student in the public sector.12, [15] The economics literature also shows that for-profits open, locate, and adjust their prices in response to Pell Grants and GI Bill funding, which generate more revenue (all else equal) from lower-income students and veterans—a point that I return to below.[16]

Key finding #2: *Labor market outcomes are worse for for-profit students than for similar students in similar programs in other sectors.*

In the last decade or so, several studies have examined the labor market outcomes of for-profit students. The results are consistent, with a 2017 review of nearly a dozen studies finding negligible earnings gains for for-profit students that remain at or below those for similar students in other sectors.11 Since then, a few additional studies have added to our understanding.

Given the demographic differences in the student population described above, a central concern in any study of for-profit earnings is the extent to which estimates can credibly control for selection. Three early studies used regression analysis and matching methods on relatively small samples of students in data from the Beginning Postsecondary Students Longitudinal Study (BPS) data and the National Longitudinal Survey of Youth 1997 (NLSY97),[17] and the Educational Longitudinal Survey.[18] All three found that for-profit students have lower post-college earnings than do students in public and nonprofit institutions. Using some of these same data sources but applying difference-in-differences designs (including individual fixed effects) with the NLSY97[19] and with the BPS,[20] all three studies found that the difference between sectors shrinks, with few significant differences in earnings gains for two-year college students between the for-profit and public sectors.

These early studies of returns were somewhat limited by their small sample sizes—none had more than a few hundred for-profit students in the sample. More recently, the availability of large-scale administrative data has allowed for more precise estimates of the returns to a for-profit education via quasi-experimental methods.

Two related studies use state administrative data with quasi-experimental methods and find sizable positive earnings gains for for-profit students. Both studies are based on a small sample of for-profit schools in a single state, Missouri. These studies focus on earnings differences only among those who are employed. So, any differences in the ability to find and retain employment are not captured, and the authors cannot observe students who move out of state.[21] In contrast, another state-level study based on two states finds wage penalties for students transferring into for-profit institutions relative to those transferring to public or nonprofit institutions. The study finds that some groups of students would be better off dropping out of a community college than transferring to a for-profit.[22]

Nationwide data from the Internal Revenue Services (IRS) and credit reporting agencies have been particularly helpful in assessing the outcomes of students in the for-profit sector. One study[23] matches College Board application and entry data with earnings data from the IRS to assess the "value-added" of all sectors of higher education via a paired comparison technique. The study finds that students who attend for-profit institutions have lower earnings gains than similar students who attend nonprofit and public institutions. A study that I coauthored[24] also draws on IRS data to assess the earnings gains and employment of more than 700,000 for-profit certificate students. Comparing individual earnings before and after enrollment for for-profit students and a matched control group of public-sector students, we find much lower earnings gains for for-profit students ($2,100 less per year) and a lower likelihood of employment (by 1.5 percentage points). Overall, we find that the earnings gains for for-profit students are no better than the gains over time for high school graduates with no college education, with even more pronounced negative patterns for students in institutions that offer most of their courses online. Finally, another group of researchers[25] accessed data from the New York Federal Reserve Consumer Credit Panel/Equifax and applied an instrumental variable approach based on labor demand shocks and the concentration of colleges. Once again, these researchers find worse labor market outcomes for for-profit students than for students in other sectors.

Another strand of research uses randomized experiments to assess whether employers perceive for-profit graduates differently from how they perceive identical graduates from other types of institutions.[26] In two independently conducted "resume-audit" studies, the authors sent out fictitious resumes to employers in multiple labor markets, randomly assigning for-profit, public college, and high school credentials to the resumes, and they tracked employer callbacks as the outcomes of interest. The first group of researchers finds that employer responses were no different for for-profit graduates than for public institution graduates; however, the responses were also no different for resumes reporting no college at all. The second group of researchers further breaks down the degree types, finding particularly negative perceptions and lower call-backs for resumes listing online business certificates. In general, the findings of resume-audit studies are like those of the observational and quasi-experimental studies discussed above—relative to students in the public sector, the outcomes for for-profit students range from similar to worse, and

credentials from a for-profit institution generate no more interest from employers than does a high school diploma.

Key finding #3: *Compared to students in other sectors, students in for-profit colleges are more likely to borrow for college and less likely to repay that debt.*

Both descriptive research and causal research document that students in for-profit colleges are more likely to borrow for college and less likely to repay that debt. Approximately 72% of first-time, full-time students in for-profit colleges take out students loans compared to just 15% of community college students and 37% of students in four-year public institutions. Among those who borrow, for-profit students also take on more debt—about $7,900 per year vs. $4,700 per year for community college students and $7,000 per year for students at four-year public institutions.[27] A decomposition of the factors driving the differences in student borrowing by sector finds that higher tuition is by far the largest driver, with differences in student demographics and resources playing a negligible role.[28]

The ability of students to repay loans is based on both their earnings after college and the cost of college. Repayment also plays a role in institutional eligibility for federal student aid, as institutions must ensure that graduates' default rates stay below certain thresholds. Currently, the official "cohort default rates" (CDRs) are based on the percentage of students who default on their federal student loans within three years of entering repayment. As of 2019 (prior to the pandemic-era student loan payment pause), the CDR for for-profits was approximately 15% compared to 9% for public institutions and 7% for nonprofit institutions.[29] Overall, for-profit college students account for a disproportionate 35% of all defaults on student loans,[30] and in 2019, 13 of the 15 institutions subject to sanctions based on high student defaults were for-profit colleges.[31]

Several descriptive studies have assessed differences in default by sector. Even after controlling for rich observable information, multiple studies find that the gaps in default rates between for-profit students and similar students in other sectors remain.[32] Evidence that takes into account the time trends in default rates suggests that the increase in student loan defaults between 2000 and 2011 was associated with an increase in borrowers attending for-profits.[33] An analysis based on student-level data covering a 12-year time frame finds that for-profit students are at a particularly high risk of default relative to students in other sectors. Most strikingly, more than two-thirds of Black students who dropped out after attending a for-profit college defaulted within 12 years.[34]

A recent quasi-experimental study confirms these patterns, showing that for-profit enrollment leads to more loans, higher student debt, and an increased risk of default. The authors of the study present evidence that these debt and default outcomes are driven by higher for-profit tuition and a negative impact of for-profit attendance on labor market outcomes (see key finding #2).[35]

Key finding #4: *For-profit colleges are highly dependent on Pell Grants, student loans, and the GI Bill. Regulatory changes involving eligibility for these programs have driven fluctuations in enrollment over the last several decades. Ongoing debates over the rules governing federal student aid policy will shape the sector and its students in the years to come.*

Since proprietary schools emerged in the late nineteenth and early twentieth centuries,[36] cycles of expansion and contraction of for-profit colleges have repeated every few decades.

Several studies have assessed the correlates of these expansions and contractions, generally finding that the rules governing access to federal student aid programs, such as the Pell Grant, student loans, and the GI Bill, have played key roles. Perhaps this is not surprising, as federal student aid programs have been described as a "lifeline" for for-profit colleges.[37] On average, for-profits generate 70% of their revenue from Pell Grants and federal student loans under Title IV of the Higher Education Act, with some institutions bumping up against the federally mandated limit of 90%.[38]

Nonetheless, the history of the sector shows that nearly every twentieth-century president attempted to regulate the sector, doing so in a "cycle of scandal, pushback, and regulation" during the presidencies of Truman, Eisenhower, Nixon, Ford, Reagan, and George H. W. Bush.[39] One of the largest expansions took place in the 1970s with the introduction of the GI Bill and the consequent inflow of federal funds in the post-Vietnam War era.[40]

In contrast, one of the most significant contractions of the sector followed the 1992 Amendments to the Higher Education Act, which established several rules aimed at reducing student loan defaults.[41] Economic research supports the critical role played by these 1990s CDR restrictions, with quasi-experimental work documenting the causal impacts of these rules. Research shows that enrollment in for-profit colleges that were threatened with the loss of aid under the CDR rules declined substantially. However, those enrollment losses were nearly entirely offset by increases in local public community college enrollment.[42] Other quantitative evidence based on data from the 1970s to the 1990s confirms that a tightening of the credit supply was associated with the closure of many institutions, while the relaxation of accountability rules resulted in for-profit expansion.[43]

Between 2000 and 2010, enrollment in for-profits more than tripled, while the rest of higher education grew by just 22%.[44] Key to the expansion was a lifting of prior rules that prohibited online programs from accessing federal student aid. Online programming in for-profits grew exponentially. For-profit institutions' reliance on federal student aid also grew over the first decade of the 2000s. Federal student aid flowing to for-profits through Pell Grants and student loans increased by six times over this period, reaching $32.2 billion in 2010.

After 2010, in the wake of the Great Recession and with increased scrutiny under the Obama administration,[45] for-profit enrollment contracted once again. Total enrollment in for-profit colleges peaked in 2010 at approximately 2.4 million students (approximately 11% of all students). Since then, the sector has contracted tremendously, likely due in part to increased scrutiny and new regulations (discussed under key finding #5) targeting the sector beginning around the same time. Around 2015, the culmination of several investigations and government sanctions ultimately led to the abrupt closure of several large for-profit chains—notably, Corinthian Colleges and ITT Tech. Many more colleges followed. In total, roughly 450,000 students were affected by the closure of over 1,200 individual campuses between 2014 and 2019.[46]

When the Trump administration took office in 2016, it rolled back many of the consumer protections put in place under the Obama administration and again set the stage for the sector's growth. The COVID-19 pandemic initially boosted enrollment in for-profits, as many of these institutions were already online and less affected by campus closures than other institutions were. However, the strong labor market post-pandemic was a stabilizing

force.[47] Today, for-profit enrollment remains approximately 1 million students, roughly where it was in 2015.[48]

Recent policy debates centered on ensuring value in higher education and alleviating the burden of student loan repayment have contributed to heightened scrutiny of for-profit colleges. Several Biden administration rules and recent legislation have attempted to tackle these issues. While some are still pending litigation and may be rescinded in the next administration, we know from the literature that the future of these policies will shape the for-profit sector.

The literature has documented the important role played by federal aid in the behavior of for-profit institutions. For example, the maximum Pell Grant award amount is strongly correlated with for-profit college openings.[49] There is also compelling evidence of federal aid capture by for-profit institutions. Several studies have documented evidence of the "Bennett Hypothesis," suggesting that institutions raise tuition to capture aid in this sector.[50]

Two studies using quasi-experimental methods find evidence that the first Obama-era Gainful Employment Rule had a direct impact on for-profit enrollment. One study finds that enrollment growth at for-profit institutions was significantly slower than enrollment in the public and nonprofit sectors in the four years following the proposal.[51] Following up on this study with additional years of data, a second study finds that programs that broke the Gainful Employment Rule were more likely to close in subsequent years.[52]

The "90/10 rule" requires for-profit colleges to obtain no more than 90% of their revenue from federal student aid. Recent changes have closed a "loophole" that previously allowed federal funds obtained through the GI Bill and other sources not to count toward the 90%. To date, it is unclear how institutions will respond, but researchers have documented large enrollment responses in the sector when the rule was previously changed.[53] Institutions that violate the 90/10 rule tend to close shortly thereafter,[54] and more violations may come with the recent closing of the loophole.

While it is not entirely clear what will happen to for-profit students in the current policy environment, evidence on previous regulatory tightening suggests that most students will be able to find programs to meet their needs in nearby community colleges, as research suggests that there is substantial substitution between for-profit and public institutions.[55]

Conclusion

Research on for-profit colleges has broadly focused on student outcomes, institutional behavior, and the responses of colleges and students to federal student aid policy. Overall, the evidence suggests that, compared to students in other sectors, students in the for-profit sector are paying more for an education that benefits them less, on average. It is also clear that the rise and fall of the for-profit sector is closely tied to regulations governing Pell Grants, student loans, and the GI Bill. While more research is needed to better understand these patterns—and, in particular, the expansion of for-profit institutions online and worldwide—what we do know suggests that the sector is likely to remain a target for policymakers seeking to ensure that students and taxpayers are obtaining value from for-profit education.

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